



MERGER & ACQUISITION FINANCIAL MODEL

— OF —
SUN PHARMA & ORGANON CO.

Stronger Together.
Healthier Tomorrow.



Enhanced
Scale



Stronger
Growth



Broader
Reach



Better
Lives



Table Of Content

1. Merger & Acquisition Model

**3 Pro-Forma Cost Of Debt
Estimation**

2. Revenue Synergies

4 Transaction Fees Estimation

5 Accretion & Dilution Analysis

1. Merger & Acquisition Model

1.1 Financial Inputs

Acquirer Company (Sun Pharma)

Share price (26-04-26)	1620
Share outstanding	240
Net Income	11509
Tax Rate	25%
Cost Of Debt	7.41%

Target Company (organon Co.)

Share Price (26-04-26) ¹	1068.574
Share Outstanding (Cr.) ²	28.5
Net income ³	1638.12
Tax rate ⁴	24.40%

Transaction Assumption

Target Premium ⁵	103%
Cash Consideration ⁶	100%
Stock Consideration	-
Debt Consideration	-
Pre-Tax synergies	277.60
Transaction fees	549.04

purchase Price And Financing

Purchase (Deal) Price Per Share	1328.6/\$
Total Equity Value (Purchase Price)	37865.1
Cash Required	37865.1
Stock Required	-
Debt Required	-
Total Consideration	37865.1

NOTE:

1. Organon share price (26-Apr-2026): US\$11.26/share, converted to INR using the applicable USD/INR exchange rate.
2. Share count: Fully diluted shares outstanding used to estimate the transaction value, consistent with Sun Pharma's deal sizing.
3. Net income: US\$18.7 crore (TTM) as of 31-Dec-2025.
4. Tax rate: Non-GAAP effective tax rate of 24.4% used for WACC and valuation calculations
5. Offer price: Unaffected share price (09-Apr-2026) = US\$6.90/share; deal price (26-Apr-2026) = US\$14.00/share.
6. Transaction structure: Acquisition assumed to be an all-cash transaction

NOTE:

7. Deal price: US\$14.00/share converted to INR using the spot USD/INR exchange rate on the valuation date.

8. Equity value: US\$3.99 billion (or US\$399 crore, if that's the figure you're using) converted to INR using the spot USD/INR exchange rate.

Exchange rate	
spot rate (26-04-2026)	94.9/\$
Average rate (26-04-2026)	90.13/\$

1.2 Transaction Pro forma Assumptions

Pro Forma Net Income

Acquirer Net Income	11,509
Target Net Income	1638.12
Synergies After Tax	208.20
New Interest Expense After Tax	5.56%
Pro Forma Net Income	12,613

Pro Forma Share Outstanding

Acquirer Share Outstanding	240
New Share Issued	-
proforma Share Outstanding	240

2. Revenue Synergies

2.1 Synergy Estimation

Particulars	Year 0	Year 1	Year 2	Year 3	Year 4
Synergies %	0.5%	0.5%	1.0%	1.5%	2.0%
Target Forecasted revenue %	2.3%	2.3%	2.5%	2.7%	2.9%
Target Forecasted revenue (in Cr)	55520	56797	58217	59789	61523
Revenue synergies (in Cr) ¹	277.6	284.0	582.2	896.8	1230.5

2.2 Revenue Synergy Scenario Analysis

Scenarios For Synergies %	Year 0	Year 1	Year 2	Year 3	Year 4
Best Case	1.00%	1.00%	1.50%	1.75%	2.00%
Base Case	0.50%	0.50%	1.00%	1.50%	2.00%
Worst Case	0.40%	0.50%	0.08%	1.00%	1.15%

Scenarios For Target Forecasted revenue %	Year 0	Year 1	Year 2	Year 3	Year 4
Best Case	2.50%	2.70%	2.90%	3.10%	3.30%
Base Case	2.30%	2.30%	2.50%	2.70%	2.90%
Worst Case	1.80%	2.00%	2.10%	2.20%	2.40%

3 Pro-Forma Cost Of Debt Estimation

3.1 Sun Pharma (Consolidated) — Existing Debt Structure

Period	Total Borrowings (INR)	Finance Cost/Interest	Implied Cost of Debt
FY2025 (year ended Mar-25)	2362 Cr	231 Cr	9.78%
FY2026 (year ended Mar-26)	4627 Cr	339 Cr	7.33%
Average rate			8.16%

3.2 Organon (Target) — Existing Debt Structure

Instrument	Total Borrowings (USD)	Rate	Due Date
USD Term Loan B (Senior Credit Agreement)	154.3 Cr	5.89%	SOFR (3.64%) + 225bps, due 2031
EUR Term Loan B	84.3 Cr	4.92%	EURIBOR (2.17%) + 275bps, due 2031
secured notes	210 Cr	4.13%	Fixed, due 2028
euro secured notes	147 Cr	2.88%	Fixed, due 2028
notes	158.2 Cr	5.13%	Fixed, due 2031
secured notes	50 Cr	6.75%	Fixed, due 2034
notes	50 Cr	7.88%	Fixed, due 2034
Others	10 Cr		
Total principal debt	863.8 Cr	4.87%	

3.3 Sun Pharma (Consolidated) — New Debt Issued

Debt Type	Total Borrowings (USD)	Rate Used in Model	Range
Bridge Loan	300.0 Cr	6.20%	6.0–6.5%
Term Loan A	250.0 Cr	6%	5.8–6.2%
Term Loan B	300.0 Cr	6.40%	6.2–6.8%
Revolving Credit Facility	125.0 Cr	6%	5.8-6.2 (depending on SOFAR)
Total	975.0 Cr	6.15%	

3.4 Pro-Forma Cost Of Debt

Debt Category	Total Borrowings	Interest Rate
Exisiting Sun Pharma Debt (INR)	4627 Cr	8.16%
Exsisting Organon Co. Debt (USD)	863.8 Cr	4.87%
New Debt issued by Sun Pharma (USD)	975Cr	6.15%
Total Cost Of Debt		7.41%

4 Transaction Fees Estimation

Fee Type	Typical Range	Average Rate
Financial Advisory	0.3%-1.0% of equity value	0.65%
Legal And Accounting	0.1%-0.3% of equity Value	0.40%
Financial Fees	0.2%-0.6% of debt issued	0.40%
Total Transaction Fees (in %)	~ 1.0%-2.0% of equity value	1.45%
Total Transaction Fees (in amount) ¹		549.04

NOTE:

1. Transaction fees (amount) = equity Value * 1.45%
2. there is no publicly available info on transaction fees

5 Accretion & Dilution Analysis

5.1 Accretion/Dilution

Particulars

Acquirer EPS (Stand Alone)	47.95417
Proforma EPS	52.55302
Accretion/Dilution	9.59%

Key findings

- Pro forma EPS is 9.59% higher than standalone EPS, suggesting that merger synergies and financing assumptions outweigh acquisition-related costs.
- A positive EPS accretion of 9.59% implies the acquisition is expected to enhance shareholder earnings and is financially attractive.



THANK YOU

Thank you for your valuable time.

QUESTIONS?

“Creating long-term value through strategic acquisitions.”



Enhanced
Scale



Stronger
Growth



Broader
Reach



Better
Lives

A strategically compelling and financially accretive acquisition that enhances Sun Pharma's global leadership while **creating sustainable value for shareholders.**

Prepared by
Utkarsh Malra

CFA Level I | Financial Modeling | Equity Research | Valuation

